

ADBE — the bear case accelerates the bull case

Adobe trades at 7.73× NTM EV/EBITDA. The mechanism the market is using to justify the discount is the same mechanism driving ARPU expansion in the reported numbers.



PRIMARY SOURCE ARBITRAGE

APR 01, 2026

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On March 12, Adobe reported Q1 FY2026 earnings. EPS came in at \$6.06 against a \$5.87 estimate. RPO (remaining performance obligation), a measure of forward revenue backlog, grew 12.8% YoY to \$22.22 billion. Firefly ARR (annual recurring revenue) crossed \$250 million at 75% QoQ growth. FY2026 guidance was reaffirmed in full.

The same call opened with Shantanu Narayen, CEO since 2007, announcing his departure. The multiple reflects a seat-count framework, while the reported numbers reflect a consumption framework. Both are looking at the same business.

The Bear Case

The market's bear case on Adobe is AI displacement. Generative AI tools commoditise creative output, reduce Adobe's seat count, compress revenue, and ultimately destroy the franchise. Fewer seats equals less revenue.

The stock at 7.73× NTM (next twelve months) EV/EBITDA (enterprise value to EBITDA) reflects that fear priced as permanent. For context: IBM trades at 13.58× NTM EV/EBITDA. IBM's non-GAAP operating

margin is approximately 24%. Adobe's is 47.4%. Adobe trades at a lower multiple than IBM on nearly double the margin.

In September 2022, the Fed funds rate was 3.0–3.25% with further hikes explicitly signaled. The market assigned Adobe 13.33× NTM EV/EBITDA. The Fed funds rate today is 3.5–3.75%. RPO was \$14.11 billion in September 2022. It is \$22.22 billion today. Firefly ARR, which did not exist in September 2022, is now a \$250 million business growing 75% QoQ. Adobe trades at 7.73× today.

Here is what the reported numbers show instead.

David Wadhwani, President of Creativity and Productivity, Q1 FY2026 earnings call, March 12, 2026: "Generative credit consumption was up 45% QoQ."

Wadhwani on the same call: "You can think about generative credits like tokens for our creative applications." Generations are skewing toward video and audio, which grew 8× and 2× YoY, respectively, while total credit consumption grew 45% QoQ.

Each remaining seat is consuming more Firefly credits to generate the content that human seat-holders previously produced manually. The threat and the monetisation mechanism are the same event.

The Math

The crossover question: at what rate of seat erosion does the ARPU (average revenue per user) expansion from Firefly fail to compensate?

RPO of \$22.22 billion, growing 12.8% year-over-year, is the most direct available evidence of forward demand. RPO represents customer commitments to future spending. If involuntary churn were occurring at the rates the bear case requires, customers would not be signing or renewing forward revenue contracts. Customers are also locked by embedded workflows. Firefly Foundry is deployed across 99% of the

Fortune 100, per Adobe Newsroom, March 31, 2026. Replacing Firefly Foundry requires multi-year workflow migrations across creative, marketing, and document production functions simultaneously.

The math is simple. Revenue = seats × ARPU. At 20% annual ARPU growth, each remaining seat generates 1.2× its prior revenue. For total revenue to stay flat, seat count can fall to 1/1.2, or 83% of today's level. That is 17% annual erosion. At 50% ARPU growth, the break-even is 1/1.5, or 67% of today's level, which is 33% erosion.

The \$450 million figure in the guidance refers specifically to Adobe's traditional stock photography business, pre-existing licensed image assets that customers are replacing with generative AI output. Narayan verbatim, March 12, 2026: "Our traditional stock business saw a steeper decline than we expected." Management quantified this headwind, absorbed it into FY2026 guidance, and reaffirmed that guidance in full. The most visible AI displacement vector has a number attached to it. The Firefly consumption upside does not yet have a multiple.

Why The Multiple Is Where It's At

Adobe's 7.73× NTM EV/EBITDA reflects three things.

First, cohort drag. The iShares Expanded Tech-Software ETF declined approximately 30% from its September 2025 peak as passive outflows hit the entire SaaS category. Adobe was sold alongside declining peers regardless of its own metrics.

Second, the AI displacement narrative. The market is applying a seat-count framework to a business whose reported numbers show consumption acceleration.

Third, CEO uncertainty. The incoming CEO has not yet made a public strategic statement. Until that happens, a guidance reset risk sits in the

multiple. It is temporary and binary in nature. Narayen already signalled the timeline: “I would suspect it will take a few months.”

For context on where the multiple sits today: Salesforce trades at 9.84× NTM EV/EBITDA on 10% revenue growth and 34% non-GAAP margins. ServiceNow trades at 17.88× on 20% growth and 32% margins. Adobe at 7.73× on 11% growth and 47.4% margins trades at a 131% discount to ServiceNow for a 9 percentage point revenue growth gap, on 15 percentage points more margin. Adobe’s 10-year average multiple is 29×.

The Agentic Layer

One mechanism not yet in any sell-side model: agentic AI compounds Firefly credit consumption non-linearly.

A single human running a manual creative workflow generates one session of activity. A sub-agent running automated content production loops generates Firefly credit consumption at volumes that no seat-count framework captures. Campaign variant generation, image resizing across channels, and video assembly. None of this maps to a subscription headcount. Narayen verbatim, March 12, 2026: “Agentic AI will further enable outcome-focused enterprise workflows as customers look beyond speed to elevate creative differentiation, brand governance, and personalized experiences across channels.”

Firefly Enterprise’s new customer acquisition grew 50% year-over-year. Over 2,500 custom Firefly models have been built since launch. AEP and apps ending ARR grew over 30% year-over-year. These are the enterprise channels where agentic workflows are deployed. None of this is in the 7.73× multiple.

The Catalyst

The next primary gate is Q2 earnings on June 11. The pre-registered conditions are RPO growth at or above 10% YoY and Firefly ARR QoQ growth at or above 30%. Both must occur simultaneously. RPO is the more important of the two. A second consecutive quarter at or above 10% removes the primary evidential basis for the displacement bear case.

The CEO succession announcement is the second catalyst. If the incoming CEO reaffirms the Firefly roadmap without signalling a restructuring or guidance suspension, the uncertainty premium compresses.

Firefly ARR crossed \$250 million in Q1 at 75% QoQ growth. Narayen verbatim, on the same call: “That should be our next billion-dollar business.” The \$250 million figure is the absolute break floor, the level below which the thesis changes regardless of RPO trajectory or agentic momentum. Management is describing a trajectory toward \$1 billion. The break condition fires at \$250 million. Those two numbers define the range within which this thesis operates. The metric that determines whether the thesis holds across two consecutive prints is RPO, at or above 10% YoY in Q2.

What Breaks The Thesis

RPO growth below 10% YoY for two consecutive quarters triggers an exit review. RPO declining YoY for two consecutive quarters triggers an immediate exit. Absolute Firefly ARR below \$250 million in any single reported quarter triggers an immediate exit. The incoming CEO publicly signalling a strategic review, restructuring, or guidance suspension triggers an immediate reduction regardless of RPO or Firefly trajectory. RPO guidance cuts across two or more major SaaS peers, Salesforce, ServiceNow, Workday, for two consecutive quarters, would fire before Adobe’s own metrics break.

The Setup

Adobe trades at 7.73× NTM EV/EBITDA. 47.4% non-GAAP operating margins. \$22.22 billion in forward revenue backlog and growing 12.8% YoY. Firefly consumption is growing 45% QoQ. Agentic enterprise workflows compounding credit volume above any seat-count model. Stock photography business is declining faster than expected, and guidance held anyway.

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One note on a filing that will generate headlines. On March 26, 2026, The Vanguard Group filed an amended Schedule 13G/A reporting zero beneficial ownership of Adobe. This does not represent an exit. It is an internal realignment under SEC Release No. 34-39538, the same structural disaggregation that applies across dozens of stocks simultaneously. The shares remain held by individual Vanguard subsidiaries reporting separately. Vanguard purchased 188,803 additional Adobe shares on January 30, 2026, at \$293.25.

Disclosure: I hold a position in Adobe. This material is for informational purposes only and does not constitute investment advice. All figures sourced from Adobe Q1 FY2026 earnings press release and earnings call transcript, March 12, 2026; Adobe Form 10-Q, quarter ended September 2, 2022; Adobe Newsroom, March 31, 2026; IBM Q4 2025 earnings call transcript, January 28, 2026; Federal Reserve press release, September 22, 2022. Forward multiples for Adobe, Salesforce, ServiceNow, and IBM sourced from TIKR Terminal as of March 31, 2026.